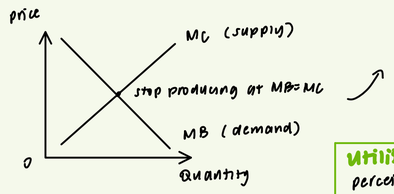
[1] THE CENTRAL ECONOMIC PROBLEM

Decision making

Scarcity: limited resources, unlimited wants



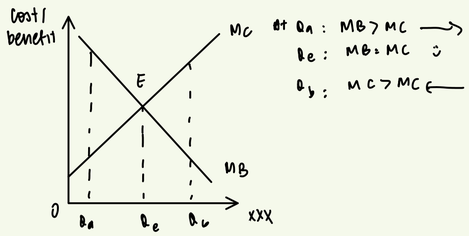
opportunity cost: value of next best alternative forgone when a choice is made



utility
perceived satisfaction from consumption of a good / service

Decision Making

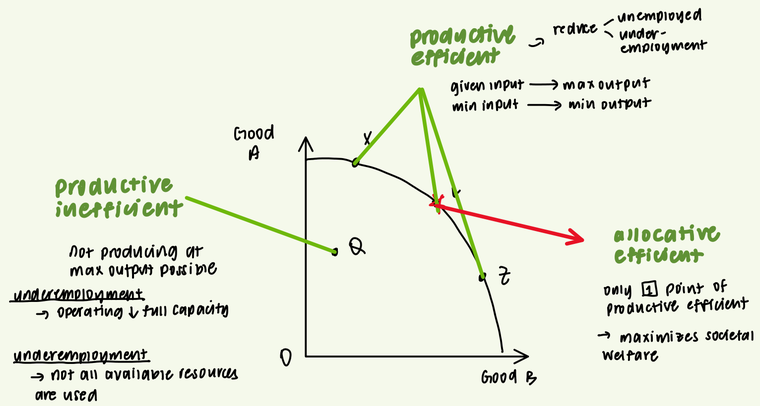
1) benefit { consumers: utility; producers: profit; government: welfare
2) costs { implicit; explicit : opp costs } } marginalist principal
3) MB = MC
4) constraints
5) unintended consequences



CSQ:
1) Marginalist principle
2) cost & benefits + constraints + unintended/intended consequences

Production possibilities curve

Shows the [1] maximum possible combinations of 2 goods and services that can be produced in an economy, [2] when all available resources are fully and effectively used at the [3] given state of technology



Not producing at max output possible

underemployment
→ operating ↓ full capacity

underemployment
→ not all available resources are used

only 1 point of productive efficient
→ maximises societal welfare

features

1) Opportunity cost

- concave downwards
  → resources are not homogeneous
  → to produce more of A, economy has to forgo B

2) scarcity

→ can't produce outside the PPC (limited resources)

3) choice

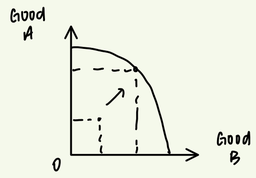
→ pick a point among possible combinations

assumptions (used for evaluation)

1) Economy only produces 2 goods
2) production is only observed for a limited time
3) Qty & quality of resources remain the same over a period of time
4) resources are employed and efficiently used
5) NO change in level of technology

ECONOMIC GROWTH

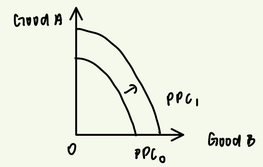
actual economic growth (short term)



- annual % ↑ in national output

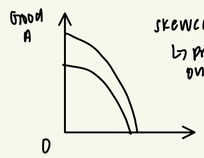
caused:
- reducing unemployment & underemployment
  ↳ skills not fully utilized

potential economic growth (long term)



- increases the productive capacity

↑ qtty of resources	⇒	↑ Economy's max potential prod capacity
↑ quality of resources	⇒	improve productivity
improvement in technology	⇒	improve productivity



skewed outward shift
↳ productive capacity ↑ for one good but not the other